

2024

Bachelor in Business Administration

Course Title: **Treasure Management**

Code No: **BNK207** Semester: **8th Semester**

Full Marks: **60** Pass Marks: **24** Time: **3 hours**

Candidates are required to answer the questions in their own words as far as practicable.

Section A

1. Treasury department is basically concerned with extending credit to potential clients of a bank.
2. Dealers and traders constitute the front office.
3. Front office plays a key role in ensuring that organization's systems are operating correctly, that people are being supported effectively and compliantly, and that trades are settled properly.
4. Effective risk management reduces the probability of threats.
5. NRB allows institutional customers to open saving deposits accounts in Nepal.
6. Home equity credits are the loans that allow homeowners to borrow against the value of property.
7. Asset liability management is concerned with strategic management of balance sheet by giving due weightage to market risks.
8. In the case of positive mismatch, the maturity of liabilities is greater than the maturity of assets.
9. The main regulatory concern on the bank's liquidity is about the adequacy of liquidity rather than cost effectiveness of liquidity.
10. FEDAN works as a bridge between member banks and NRB on the matter relating to any banking issue.

Section B

Short Answer Questions:[6 × 5 = 30]

11. Explain the major principles of treasury management.
12. Discuss the scope of treasury department of a commercial bank in Nepal in connection with money market transactions.
13. Explain the functions performed by treasury department front mid and back office.
14. What is asset liability management committee? Explain the roles and responsibilities of ALCO.
15. Distinguish between forward contracts and futures contracts. Illustrate with suitable example.

16. What do you mean by counterparty default risk? How this risk can be mitigated? Explain.

Section C

Comprehensive Answer Questions:[2 × 10 = 20]

17. Commercial banks now a days facing problem while offering interest rate in product pricing. Several issues are come up to the market just like liquidity issue, government spending, foreign direct investment and remittance, so managers are in dilemma to decide the best rate of deposit product. As a finance specialized graduate how can you help managers to determine the best interest rate for new deposit product? Also recommend the suitable deposit pricing method with your opinion.
18. "Risk can be seen as a adverse effects of financial decision of a decision maker and changes in environment that may cause damage to an institution's income and reputations". With the help of the statement define risk and explain different types of risk in treasury department of commercial banks in Nepal.